BOARD MEETING OF THE CBA

MINUTES
(10.12.2019)

On the Refinancing Rate

The CBA Board Meeting of December 10, 2019 attended by Deputy Governors Nerses Yeritsyan and Vakhtang Abrahamyan, and Board Members Hasmik Ghahramanyan, Arthur Stepanyan, Martin Galstyan, and Oleg Aghasyan

The Board meeting opened with presentation of the Situation Report as of December 10, 2019. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy.

There was 1.1% inflation in November 2019 compared to that of 1.0% registered in the same month last year, and the 12-month inflation rate remained almost unchanged, **1.0%** at the end of the month. The month's inflation owed to the change in prices; in particular, prices in items "Vegetable" and "Fruit" grew by 20.1% and 3.5%, respectively (combined contribution to inflation: 1.3 pp), and prices in items "Fats and oils", "Dairy products" and "Bread products and grains" also posted increases by 0.7%, 0.4% and 0.3%. However, prices in item "Fish and seafood" fell by about 1.0%. **The 12-month core inflation rate** continued reducing to 0.7% at the end of October.

Addressing the current economic situation, the Board stated that **economic activity exceeded the projected level** owing mainly to the high growth in the services; in the period January-September, compared to the same period last year, the economic growth has been 7.5%. These trends are persisting over the fourth quarter too, so the January-October's Economic Activity Indicator hit a 7.2% level against the same period of the previous year, and the Central Bank estimates that the end-year indicator of economic growth will be around it, as well. Domestic demand too remains high during the fourth quarter thanks to the increase in private consumption, which is greatly supported by a stimulative monetary policy. The latter, as the financial system further benefits strong capitalization, has contributed to the high growth in economy lending, in which structure the share of consumer and mortgage loans is considerable. Although the impact of fiscal policy on aggregate demand for the last three quarters of the year has proved contractionary, at about 2.5 percentage points, in the fourth quarter and next year the fiscal policy is expected to be expansionary, which is quite a solid boost for the domestic demand growth in the short term.

As to the external sector developments presented at the Board meeting, though persisting uncertainties have somewhat withdrawn, the global economic growth is still sluggish, reflecting both a weakening demand and persistently low inflationary environment in the world's commodity markets. In such a circumstance, central banks of main trade partner countries to Armenia will further pursue, in an upcoming period of time, a stimulative monetary policy in order to fulfil their inflation targets.

Talking about the developments in the domestic financial market, the Board admitted that short-term interest rates in the financial market fell during the fourth quarter, in line with a policy rate cut in September. In the government bond market in the meanwhile, interest rates also posted a decline along the entire yield curve.

The Board touched upon some supply-driven factors set to curb inflation, namely that the EAEU membership and structural reforms facilitate an increasingly strong competition in commodity markets, which changes the pricing behavior of firms and reduces their markups, and that efficiency in resource utilization is rising, which was mainly noticeable in non-tradable sector of the economy, shifting demand from the market of short-term consumer goods to that of long-term consumer goods.

Following presentation of the Situation Report and the developments in external and domestic macroeconomic environments, the Board began addressing the monetary policy directions and making decision on the interest rate. In view of non-inflationary impacts expected from the external sector in the near future and a stimulative fiscal policy, while preferring a gradual recovery of inflation, the Board **found it appropriate to retain the monetary stimulus by leaving the refinancing rate unchanged.** Given the predictable macroeconomic developments, the Board estimates that monetary conditions still need to be kept expansionary, in anticipation that the inflation will run below the target in the coming months but will gradually get closer to it in the mid-term perspective.

The Board also looked to current inflation risks. These risks are generally balanced now. However, if they materialize, an appropriate monetary policy response of the Central Bank will come along to ensure price stability in the medium term.

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

The Central Bank of the Republic of Armenia

Board Decision

Interest Rates of Instruments of Monetary Policy of the Central Bank of the Republic of Armenia

By virtue of Article 2 (3), Article 20 “c” and “e” of the Republic of Armenia Law on the Central Bank, and clauses of the Republic of Armenia Law on Normative Regulations, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. Leave the refinancing rate of the Central Bank of the Republic of Armenia unchanged, at 5.5%.
2. Lombard facility rate offered by the Central Bank of the Republic of Armenia to be 7.0%.
3. Deposit facility rate offered by the Central Bank of the Republic of Armenia to be 4.0%.
4. This decision takes force on the day following its placing on the internet homepage of the Central Bank of the Republic of Armenia.

Nerses Yeritsyan,
Deputy Governor of the Central Bank

December 10, 2019

c. Yerevan

PRESS RELEASE
10.12.2019

In the December 10, 2019 meeting the Board of the Central Bank of Armenia decided to leave the refinancing rate unchanged, at 5.5%.

There was 1.1% inflation in November of 2019 compared to that of 1.0% registered in the same period of the previous year, and the 12-month inflation rate remained almost unaltered, reaching 1.0% at the end of the month.

In the external sector, some reducing of economic uncertainties was observable, yet the slow pace of global economic growth has been persisting, reflecting both weak global demand and low inflationary environment in international commodity markets. The Board of the Central Bank estimates that no considerable pressures from the external sector on the inflation environment are expected.

The Board admits that economic activity in Armenia in the third quarter exceeded the projected level, which will continue so during the fourth quarter, mainly thanks to the contribution by the services sector. Domestic demand remains strong as well, owing to increased private consumption, which continues to be sustained by the monetary policy's stimulative stance. At the same time, although the fiscal policy's impact on aggregate demand is estimated contractionary from the beginning of the year, the impact in the fourth quarter and throughout the next year is anticipated to be expansionary.

Given the abovementioned actual and expected developments in the external and domestic economies, and in view of further preference to a gradual recovery of inflation, the Board of the Central Bank finds it reasonable to keep the monetary stimulus under current terms by leaving the refinancing rate unchanged. The Board also finds that in view of anticipated macroeconomic developments, keeping the policy stance still expansionary will be needed. As a result, the expectation is that the inflation will run below the target in the coming months but will gradually return to the target in the mid-term perspective.

At present, risks to inflation deviating from the projection path are generally balanced; in the event such risks materialize, the Central Bank will respond adequately while maintaining price stability in the medium run.

Press Service of the Central Bank of Armenia